Chapter 8

Introduction to Financial Markets

Understanding financial markets, and the participants and roles that drive them

A market larger than the world

$846T

in OTC derivatives, mid-2025

The notional value of the world's over-the-counter derivatives reached about $846 trillion in mid-2025 — many times the size of the entire global economy. Financial markets have grown far larger than the physical trade they were built to serve.

A layer on top of the real economy — Behind every barrel, share, or loan sits a far larger web of contracts used to finance, price, and hedge it.

Built to manage risk — These markets exist so that risk can be moved to whoever is best able to carry it — and capital to wherever it is most needed.

Why it matters here — To trade oil is to operate inside this financial system. Understanding it, and the people in it, is the groundwork for everything that follows.

What a financial market does

A place to exchange — A financial market is any arena, physical or electronic, where buyers and sellers trade assets: shares, bonds, currencies, commodities, and the contracts derived from them.

Price discovery — By matching countless buyers and sellers, the market continuously sets a single price that reflects all the information available at that moment.

Capital and risk — Markets move capital from those who have it to those who need it, and move risk from those who want to shed it to those willing to bear it.

Liquidity — A good market lets you buy or sell quickly without moving the price much. Liquidity is what makes all the other functions possible.

The major markets

Equities — Shares of ownership in companies, traded on stock exchanges. This is the market most visible to the public.

Fixed income — Bonds and other debt, where borrowers pay lenders interest over time. Measured by value, it is the largest market of all.

Foreign exchange — The trading of currencies — the deepest and most liquid market on earth, turning over trillions of dollars every day.

Commodities & derivatives — Physical goods such as oil and metals, together with the futures, options, and swaps written on every asset class above.

Cash and derivatives

The cash (spot) market — Buying the asset itself for immediate delivery. You own the share, the bond, or the barrel outright.

Futures and forwards — Agreements to trade an asset at a set price on a future date — the building block of commodity and financial risk management.

Options — The right, but not the obligation, to buy or sell at a set price. They let traders shape precise risk-and-reward profiles.

Swaps — Private contracts to exchange one stream of payments for another. They are the dominant instrument in the vast over-the-counter market.

Exchanges, OTC, and clearing

Exchange-traded — Standardized contracts bought and sold on a central venue such as the CME or a stock exchange, with public prices and deep liquidity.

Over-the-counter (OTC) — Customized deals struck directly between two parties. Far larger in notional value, but less transparent and harder to exit.

Central clearing — A clearing house steps between buyer and seller, guaranteeing the trade and removing the risk that the other side defaults.

Margin and collateral — Participants post collateral that is adjusted daily, so losses are settled continuously rather than building up unseen.

Who is in the market

A web of roles — No market is a single crowd. It is a layered system of players with different goals, time horizons, and tolerances for risk.

Commercials — Producers and consumers who use markets to manage the price of something they actually make or buy — an oil refiner, a farmer, an airline.

Financial players — Banks, funds, and traders who supply capital and liquidity and seek profit from price movements.

Infrastructure — Exchanges, clearing houses, brokers, and regulators that make the whole system function and keep it honest.

Hedgers and speculators

Hedgers reduce risk — A hedger already has exposure — a cargo of oil, a foreign-currency bill — and uses the market to lock in a price and remove uncertainty.

Speculators take risk — A speculator has no underlying exposure; they take a position purely to profit from a price move, and in doing so absorb the risk hedgers shed.

Two sides of one trade — For every hedger transferring risk, someone must take the other side. Speculators are not parasites on the market — they are what make hedging possible.

The balance matters — Too few speculators and hedgers cannot find a counterparty; too many, and the market can drift away from fundamentals.

The liquidity providers

Market makers — Firms that continuously quote both a buy and a sell price, earning the small spread between them and ensuring there is always a counterparty.

Dealers — Banks and trading houses that stand ready to take the other side of client trades, warehousing the risk until they can offset it.

Arbitrageurs — Traders who profit from small price differences between related markets, and in closing those gaps keep prices consistent everywhere.

Why they matter — Without these players, spreads would widen, prices would gap, and entering or exiting a position would become slow and costly.

Intermediaries and institutions

Brokers — Agents who execute trades on behalf of clients without taking the position themselves, connecting buyers to sellers for a fee.

Banks — They lend, underwrite, clear payments, make markets, and finance the physical trade that moves commodities around the world.

Asset managers & funds — Pension funds, mutual funds, and hedge funds that invest pools of capital — collectively the largest source of long-term money.

Commodity trading houses — Firms such as Vitol and Trafigura that move physical barrels and hedge them in financial markets, bridging the two worlds.

The guardians of the market

Exchanges — They set the rules, list the contracts, and provide the venue where prices are formed transparently and in public view.

Clearing houses — They guarantee every cleared trade and manage the collateral that keeps a single default from cascading through the system.

Regulators — Bodies that oversee conduct, enforce disclosure, and guard against manipulation, fraud, and systemic risk.

The result is trust — Together this infrastructure lets strangers transact billions safely. That trust is the quiet foundation every other role depends on.

Conclusion — one market, many roles

Markets serve real needs — Beneath the scale and complexity, financial markets exist to discover prices, move capital, and transfer risk.

Every role has a purpose — Hedgers, speculators, market makers, and brokers each play a distinct part; remove any one and the market works less well.

The physical and financial meet — In commodities especially, the same barrel sits at the center of a physical trade and a far larger financial market built around it.

What to remember — Knowing who is on the other side of a trade, and why, is as important as knowing the price itself — and it is the foundation for everything that follows.